

Women in Start-ups

MOST POWERFUL WOMEN - 2025

crore start-up backed by Arkam Ventures and Trifecta Capital, among others.

Resilience and hard work do matter, but access to capital is an entirely different battle—one in which many woman founders struggle. According to a 2024 report by Kalaari Capital, the average cheque size for start-ups with female co-founders is half that of those led by men. And for every ₹100 invested in start-ups, only ₹4 goes to companies with women chief executive officers. The report says 80% investors surveyed acknowledged that gender plays a role in evaluating start-ups.

THE CHALLENGES

Neha Singh, co-founder of Tracxn, which follows start-ups, says 2021 was the most prosperous year for start-ups led by women that together raised more than \$7 billion. That year was an outlier because edtech firm Byjus, with Divya Gokulnath as co-founder, skewed the figures by raising \$2 billion.

“Critical challenges persist, including limited access to capital, with woman founders receiving a small fraction of venture capital, prevalent gender biases in funding, lack of social and institutional support, and inadequate visibility in mainstream networks,” says Singh.

According to Singh, many woman entrepreneurs face hurdles such as family reluctance to back their ventures, difficulties in securing loans, and a strong need for mentorship. Although government schemes exist, only a small percentage of woman entrepreneurs benefit from them because of lack of awareness and accessibility.

Several government initiatives like NITI Aayog’s Women Entrepreneurship Platform and start-up incubators are making measurable progress in supporting woman founders by addressing access to capital, mentorship, networking and market linkages.

The Dun & Bradstreet report shows that in April–June 2025, fund-raising remained a major concern for 64% women entrepreneurs, who do not expect easy access to capital. There is some progress: 36% now believe external funding will be easier to obtain, up from 28% in October–December 2024.

‘HOBBY’ BUSINESS?

Take Heads Up for Tails, a ₹237 crore pet care company that started in 2008 and has raised one Series A funding round. According to founder Rashi Narang, when she started out, pet care in India didn’t exist as a real category. There were no benchmarks, no playbooks, and very little belief that this business could grow. Investors didn’t understand the emotional depth of pet parenting, and many thought of it as a “hobby business,” not a serious opportunity.

While the business is backed by Venture Capital firms Peak XV, Amitell Capital and so on, Narang says in the early days, the biases were subtle but constant.

“Investors questioned whether the category—and sometimes whether I—had the capability to scale up. People often dismissed pet care as an indulgence that would never become mainstream. I learnt very quickly that the only way to change minds was through consistency and care,” she says.

For female entrepreneurship to expand, a change in mindset is important. Tech and digital literacy are also vital for would-be woman entrepreneurs.

TECHNOLOGY IS KEY

Women entrepreneurs rank ‘Leadership and Management’ as the top skill for success, followed by ‘Entrepreneurial Mindset’ and ‘Financial Literacy,’ according to

a study by Dun & Bradstreet. Yet only 8% consider digital literacy essential and just 5% prioritise soft skills. That must change. “Tech is inevitable. Any brand that doesn’t take it seriously will perish, because technology is making life so much simpler,” says Biswas.

A 2025 study by Global Entrepreneurship Monitor found that women are 47% more likely than men to discontinue their businesses owing to family or personal commitments. Women also are less likely than men to prefer an ICT (Information and Communication Technology) business.

When access to capital, mindset shift and digital fluency catch up, the question will no longer be whether women can scale up, but how far they can go. **BT**

Funding Gap

80%

INVESTORS
ACKNOWLEDGE
THAT GENDER
PLAYS A ROLE IN
EVALUATING
START-UPS

50%

INVESTORS
ARE COMMITTED
TO GENDER
DIVERSITY IN
THEIR DEAL
FLOW

75%

INVESTORS EVALUATED ONLY
ONE TO THREE START-UPS WITH
FEMALE CEOs PER QUARTER,
COMPARED TO 50-PLUS LED
BY MALE CEOs

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